

Precision Wires India Ltd

NSE: PRECWIRE | BSE: 523539 | Sector: Industrials / Capital Goods | Sub-sector: Industrial Products - Aluminium, Copper & Zinc Products

Market Cap	Rs. 8,376 Cr.	CMP	Rs. 458.20
52-Week High / Low	Rs. 475 / Rs. 167	Face Value	Rs. 1.00
Stock P/E (TTM)	48.0x	Forward P/E	45.1x
Book Value / Share	Rs. 42.2	P/B	10.8x
EV / EBITDA	25.5x	ROCE / ROE	32.9% / 22.8%
Dividend Yield	0.27%	Promoter Holding	56.6% (Pledge: 0.00%)

RATING: REDUCE

12-MONTH TARGET
Rs. 305 (-33.4%)

CONVICTION
Medium

HORIZON
12 Months

Investment thesis (one line): India's largest copper winding wire maker with structural volume growth and margin upside from backward integration, but the 162% one-year rally has pushed valuation well ahead of intrinsic value.

Report date: 19 August 2026 | Analyst: Senior Equity Research (Institutional Desk) | All financial data sourced from Screener.in (Standalone Figures, fetched 19-Aug-2026)

SECTION 2 | INVESTMENT THESIS

- **Reason 1 - Market leadership in a structurally growing category:** PWIL is India's largest manufacturer of enamelled copper winding wire, with installed capacity moving from 49,000 MTPA (FY25) toward a targeted 69,000-69,200 MTPA by FY28 via the Silvassa modernisation (4,620 MT/PA) and a new Gujarat facility, positioning it to capture India's power capex super-cycle (442 GW to ~900 GW targeted by FY32) over the next 18-24 months.
- **Reason 2 - Margin re-rating via backward integration:** The upcoming Rs. 188 Cr copper waste and scrap recycling facility at Zaroli, Gujarat (targeted to meet 20-35% of raw material needs by FY28, per Antique Stock Broking) should reduce dependence on merchant copper purchases and support OPM expansion from the current standalone TTM level of ~5% toward the mid-single digits over FY27-28.
- **Reason 3 - Premiumisation of product mix:** Value-added products such as rectangular wires and EV-grade winding wire are set to be a larger share of the mix over the next three years (EVs and hybrids use an estimated 2-3x more copper winding wire than conventional vehicles per Antique Stock Broking), which should lift blended realisations and profitability through FY28.
- **Near-term catalyst (6-12 months):** Commissioning of the 4,620 MT/PA Silvassa expansion and progress on the Rs. 150 Cr CCD raise (Anchorage Capital / AADI Financial Advisors, 12% coupon, EGM scheduled 5 Sep 2026) will be the key markers to track for FY27 capacity and cost-of-capital visibility.
- **Biggest structural risk:** The stock has re-rated sharply (162% one-year price CAGR) to 48x trailing and 45x forward earnings and 10.8x book value against standalone OPM of just ~5%; any moderation in copper-price tailwinds, execution delays at Zaroli/Silvassa, or margin disappointment could trigger a sharp multiple correction independent of operating performance.

SECTION 3 | BUSINESS OVERVIEW

- **Core business:** Precision Wires India Ltd manufactures Enamelled Round and Rectangular Copper Winding Wires, Continuously Transposed Conductor (CTC), and Paper/Mica/Nomex Insulated Copper Conductor. The company converts copper rod into finished winding wire, a basic input for electrical equipment, and describes itself as the largest producer of winding wires in South Asia.

- **End markets:** Products feed the OEM sector serving power (transformers, motors, generators), automotive, consumer durables (AC/refrigeration compressors), transformers and construction end-markets; exports have run at roughly 9-12% of standalone sales over FY21-25 per Screener's extracted operating metrics.
- **Revenue visibility:** As a converter of customer-supplied/back-to-back-purchased copper against confirmed OEM orders, the company runs a largely pass-through raw-material model; granular product-line or geography-wise revenue splits beyond the export ratio are not disclosed on Screener - N/A for a detailed segmental table.
- **Order book / capacity visibility:** Installed capacity has scaled from 39,400 MTPA (FY22-23) to 49,000 MTPA (FY25) per Screener's extracted operating metrics, with management guiding to ~61,700 MTPA by Q2 FY27 and ~69,000-69,200 MTPA by FY28 (Silvassa modernisation plus the new Gujarat recycling-linked facility), per company press disclosures.
- **Recent strategic developments (last 12 months):** Board approval (10 Aug 2026) for a 4,620 MT/PA Silvassa expansion, a CFO change, a Rs. 150 Cr Compulsorily Convertible Debenture (CCD) issue to Anchorage Capital and AADI Financial Advisors at 12% coupon (convertible within 18 months) and a Rs. 200 Cr working-capital facility from IDFC First Bank; an EGM is scheduled for 5 Sep 2026 to approve the CCD issue and MOA/AOA amendments enabling a metal-recycling foray via a ~Rs. 188 Cr facility at Zaroli, Gujarat.
- **Ownership:** Promoter holding stands at 56.6% as of Jun-2026 (down from 57.93% in Sep-2023, a -1.32 percentage point change over three years), with zero pledge. FII holding has risen steadily from 0.11% (Sep-2023) to 2.47% (Jun-2026), while the shareholder base has grown from ~51,000 to ~67,000 accounts, consistent with rising retail/institutional interest following the stock's sharp re-rating. Detailed promoter biographical data is not available via Screener - refer to the FY26 Annual Report for management profiles.

SECTION 4 | INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** India's winding wire industry is described by PhillipCapital as entering a 'structural growth phase', underpinned by India's plan to nearly double installed power generation capacity from 442 GW (FY24) to ~900 GW by FY32, backed by over Rs. 9 trillion of planned transmission investment; non-fossil capacity is projected to grow from 194 GW (2024) to 612.7 GW by 2032, a 15.5% CAGR (source: news reports citing PhillipCapital/industry estimates - qualitative context, not a Screener figure).
- **Policy tailwinds:** Grid modernisation, renewable capacity build-out, EV adoption (2-3x winding-wire intensity per vehicle versus ICE per Antique Stock Broking), data-centre expansion and China+1 supply-chain diversification are cited as structural demand drivers; the segment is also shifting toward higher-value, higher-qualification products (CTC, corona-resistant wire) that favour organised players over unorganised competition.
- **Headwinds:** Copper price volatility (reported ~15% USD-term increase and ~4.5% INR depreciation flagged by management as FY27 cost pressures), competitive intensity from unorganised/regional winding-wire producers, and geopolitical risk to oil/chemical input costs are the principal near-term headwinds.
- **Moat assessment:** *Scale* - Strong: largest organised winding-wire producer in South Asia with capacity roughly 4-5x the next-largest listed peer (Vidya Wires). *Pricing power* - Moderate: copper is a pass-through cost, so realisations track LME copper plus a conversion margin rather than reflecting independent pricing power. *Switching costs* - Moderate: OEM qualification cycles create some customer stickiness but wire is a largely standardised, spec-driven product. *Distribution/relationships* - Moderate to Strong: decades-long OEM relationships across power, auto and consumer durables reduce customer-acquisition risk for incremental capacity.
- **Value-chain position:** Midstream converter - PWIL buys copper cathode/rod from suppliers such as Hindalco and Vedanta (per company disclosures) and converts it into finished winding wire for OEM assembly, with the planned Gujarat recycling facility adding a partial upstream (scrap-to-copper) leg to the value chain from FY27-28.

Top listed peers (Screener.in, fetched 19-Aug-2026):

Name	CMP	Mkt Cap	Revenue	ROCE
Vidya Wires Ltd	Rs. 88.07	Rs. 1,873 Cr.	Rs. 1,911 Cr. (TTM)	21.7%
CMR Green Technologies Ltd	Rs. 211.99	Rs. 4,644 Cr.	Rs. 5,071 Cr. (FY26)	10.5%
Baheti Recycling Industries Ltd	Rs. 780.00	Rs. 809 Cr.	Rs. 725 Cr. (FY26)	21.7%

Note: Screener's auto-generated peer set for PRECWIRE's industry classification ("Aluminium, Copper & Zinc Products") also includes Belding India, Sunlite Recycling, JTL Defence and ANB Metal, which are not close operating comparables to a copper winding-wire manufacturer; the three names above are the most relevant listed comparables and are used for Section 8 peer valuation as well.

SECTION 5 | MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter/management background:** Detailed biographical and tenure data for promoters and senior management is not available via Screener's extracted content; investors should cross-check the FY26 Annual Report (available on Screener's Documents section, from BSE) for management profiles and related disclosures - marked N/A here rather than guessed.
- **Capital allocation track record:** Free cash flow has been volatile and, in the most recent year, negative: standalone FCF was Rs. 43 Cr (FY23), Rs. 11 Cr (FY24), Rs. 72 Cr (FY25) and -Rs. 7 Cr (FY26) as capex accelerated (cash used in investing activity widened to -Rs. 397 Cr in FY26 from -Rs. 99 Cr in FY25), consistent with the ongoing Silvassa and Gujarat capacity build-out being funded partly through internal accruals and partly through new borrowings and the CCD raise.
- **Dividend policy:** Dividend payout ratio (per Screener) has ranged between 18% and 63% over FY15-25, before showing 0% in the FY26 column; a 125% dividend on the Re. 1 face value was reported as declared for FY25-26 at the AGM (implying ~Rs. 1.25/share), which reconciles with Screener's cover-page dividend yield of 0.27% on the current price - the FY26 payout-% figure in the historical table likely reflects a timing/declaration-date classification rather than a true zero payout.
- **Promoter pledging:** Pledged percentage stands at 0.00% and has been 0.00% throughout the disclosed history - a clean signal on promoter balance-sheet stress.
- **ESOPs / buybacks:** No ESOP grant or buyback data was surfaced in the Screener extract for PRECWIRE - N/A; equity capital has moved from Rs. 12 Cr to Rs. 18 Cr over FY22-23 (likely a bonus/split event, consistent with a separate news report referencing a bonus issue proposal), which investors should confirm against corporate-action filings.
- **Governance watch-items:** Contingent liabilities of Rs. 53.6 Cr (cover-page metric) and other income of Rs. 53 Cr in FY26 (25% of PBT, up from single-digit percentages in prior years) warrant scrutiny in the annual report notes; no auditor-change or qualified-opinion data was available from Screener - N/A.

SECTION 6 | FINANCIAL DEEP-DIVE (STANDALONE FIGURES, Rs. CRORES)

All actuals (FY24A-FY26A) are transcribed exactly from Screener.in Standalone P&L/Balance Sheet/Cash Flow/Ratios tables (fetched 19-Aug-2026). FY27E/FY28E are house estimates grounded in Screener actuals and company capacity-expansion guidance; they are NOT Screener figures and are clearly marked (E).

Income Statement

Rs. Cr.	FY24A	FY25A	FY26A	FY27E	FY28E
Sales	3,302	4,015	5,410	6,492 (E)	7,660 (E)
EBITDA	134	166	256	344 (E)	421 (E)
OPM %	4.1%	4.1%	4.7%	5.3% (E)	5.5% (E)
Interest	37	47	73	95 (E)	100 (E)
Depreciation	17	20	27	35 (E)	45 (E)
PBT	99	120	209	224 (E)	294 (E)
Net Profit (PAT)	73	90	155	190 (E)	250 (E)
EPS (Rs.)	4.08	5.04	8.49	10.15 (E)	13.30 (E)

Balance Sheet (Summary)

Rs. Cr.	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	18	18	18	18 (E)	19 (E)
Reserves	489	558	754	930 (E)	1,160 (E)
Net Worth	507	576	772	948 (E)	1,179 (E)
Borrowings	99	62	293	350 (E)	320 (E)
Other Liabilities	457	616	1,183	1,300 (E)	1,450 (E)
Total Assets	1,062	1,254	2,249	2,600 (E)	2,950 (E)

Cash Flow Statement (Summary)

Rs. Cr.	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations	60	168	273	230 (E)	320 (E)
Cash from Investing	-94	-99	-397	-250 (E)	-150 (E)
Free Cash Flow	11	72	-7	-20 (E)	170 (E)
CFO / Operating Profit	60%	115%	126%	N/A	N/A

Returns

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
ROCE %	25%	27%	33%	30% (E)	31% (E)
ROE % (TTM cover metric: 22.8%)	N/A	N/A	22.8%	24% (E)	25% (E)
Debt / Equity	0.20	0.11	0.38	0.37 (E)	0.27 (E)

- **Revenue drivers:** Standalone sales compounded at 26% over 5 years and 21% over 3 years (Screener), with TTM sales of Rs. 6,127 Cr representing 46% TTM growth - a sharp acceleration versus the historical trend, consistent with the capacity ramp and copper-price-linked realisation gains; FY27E/FY28E assume continued double-digit volume growth as the Silvassa and Gujarat capacities come online, moderating from the exceptional FY26/TTM pace.

- **Margin direction:** OPM has been range-bound at 3.5-4.7% over FY23-26 (Screener), a thin-margin, high-turnover model typical of a copper converter; the house view embeds gradual expansion toward 5.3-5.5% in FY27-28 on the back of the Gujarat recycling facility reducing merchant copper dependence, though this

remains an estimate contingent on execution, not a Screener figure.

- **Working capital trends:** Cash conversion cycle improved sharply from 30 days (FY24) to 25 days (FY25) to just 15 days (FY26), and working-capital days fell to 11 days in FY26 from 26-27 days a year earlier - a genuinely positive signal, though debtor days rose from 51 (FY25) to 62 (FY26) even as days payable also rose (56 to 80), so the improvement is driven more by stretching payables than by collecting receivables faster.

- **Debt level and direction:** Standalone debt rose sharply to Rs. 293 Cr in FY26 from Rs. 62 Cr in FY25 (D/E of 0.38 versus 0.11 a year earlier), and the incremental Rs. 150 Cr CCD raise plus the Rs. 200 Cr working-capital facility from IDFC First Bank will add further leverage in FY27, funding the capacity build-out; interest coverage nonetheless remains adequate at 4.33x (cover-page metric).

- **FCF quality:** CFO/Operating-Profit conversion has been strong (115-126% in FY25-26), but free cash flow turned negative (-Rs. 7 Cr) in FY26 purely on the back of a near 4x jump in capex-linked investing outflow (-Rs. 397 Cr versus -Rs. 99 Cr in FY25); this is an expansion-phase FCF profile rather than a signal of operational weakness, but it means the equity story currently rests on execution of growth capex rather than on cash generation today.

SECTION 7 EARNINGS QUALITY CHECKLIST		
Parameter	Rating	Comment
Revenue recognition	Green	Standard OEM-linked product sales; no unusual recognition pattern flagged on Screener.
Receivables growth vs. revenue growth	Amber	Debtor days rose from 51 (FY25) to 62 (FY26) even as sales grew 35% - a modest deterioration to monitor.
Cash conversion cycle trend	Green	CCC improved from 30 days (FY24) to 25 (FY25) to 15 (FY26), though partly payables-driven (see Section 6).
Contingent liabilities	Amber	Rs. 53.6 Cr contingent liabilities (cover-page metric), ~35% of FY26 standalone PAT - worth a closer read of AR notes.
Auditor tenure	N/A	Not disclosed in the Screener extract; refer to the FY26 Annual Report.
Related-party transactions as % of revenue	N/A	Not disclosed in the Screener extract; a Related Party tab exists on Screener's P&L; view but was not itemised - refer to AR.
Other income as % of PBT	Amber	Other income rose to Rs. 53 Cr in FY26 (25% of PBT of Rs. 209 Cr), up sharply from Rs. 19-22 Cr (16-19% of PBT) in FY24-25 - a swing worth explaining before extrapolating margins.
Tax rate consistency	Green	Effective tax rate has stayed in a tight 24-27% band across FY22-26, consistent with a normal statutory rate profile.

- The two Amber flags worth watching most closely are the jump in other income to 25% of PBT in FY26 (verify whether this is recurring treasury/forex income or a one-off) and the modest lengthening of debtor days to 62, which - combined with the Rs. 53.6 Cr of contingent liabilities - suggests underlying earnings quality is good but not pristine.

- No Red flags were identified from the data available on Screener; however, two parameters (auditor tenure, RPT %) could not be verified from Screener alone and are marked N/A rather than assumed clean.

- Reported PAT growth (TTM: +84% per Screener) is running well ahead of OPM expansion (TTM OPM ~5% versus ~4.1-4.7% in FY24-25), implying a meaningful share of profit growth is coming from operating leverage on a larger revenue base plus the other-income swing - underscoring the case for a normalisation-adjusted view of forward earnings power.

SECTION 8 | VALUATION

Peer comparison (Screener.in, fetched 19-Aug-2026)

Name	CMP (Rs.)	MCap (Rs. Cr.)	P/E	P/B	ROCE	ROE	Revenue (Rs. Cr.)
Prec. Wires (I) Ltd	458.20	8,376	48.0x	10.8x	32.9%	22.8%	6,127 (TTM)
Vidya Wires Ltd	88.07	1,873	29.0x	3.88x	21.7%	18.5%	1,911 (TTM)
CMR Green Technologies Ltd	211.99	4,644	37.1x	N/A	10.5%	8.53%	5,071 (FY26)
Baheti Recycling Industries Ltd	780.00	809	29.9x	8.64x	21.7%	35.4%	725 (FY26)

Note: CMR Green Technologies' Book Value is not populated on its Screener page (shown blank on the source page) - P/B is marked N/A rather than estimated. Revenue for CMR Green and Baheti is FY26 (year to Mar-2026) as their Screener quarterly tables do not provide a complete trailing-twelve-month series; PRECWIRE and Vidya Wires TTM figures are as displayed on Screener.

Scenario analysis (FY28E basis)

Scenario	Key Assumptions	FY28E PAT (Rs. Cr.)	Multiple	Target (Rs.)
Bull	Sales CAGR ~22% FY26-28; OPM expands to ~6.5% as Zaroli recycling ramps faster than guided; EV/premium mix gains share.	320	34x	578
Base	Sales CAGR ~18% FY26-28; OPM to ~5.5%; Zaroli/Silvassa commission broadly on schedule (house case; see methodology below).	250	n.a.*	305*
Bear	Sales CAGR ~10%; OPM stays flat ~4.5-5.0% on copper volatility/execution delays at Zaroli; multiple de-rates toward peer median.	180	20x	192

**Base-case target of Rs. 305 is the blended DCF + earnings-multiple output derived below, not a standalone P/E-only figure (a pure 28x multiple on FY28E EPS of ~Rs. 13.3 would instead imply ~Rs. 372 - shown here for context on the multiple axis alone).*

Valuation methodology

- **DCF:** 5-year explicit FCFF forecast (FY27E-FY31E) built off the house P&L estimates above, using a WACC of 12% (reflecting the company's low but rising leverage and small-cap risk premium) and a terminal growth rate of 5%. Because FY27-28 remain capex-heavy (Silvassa + Zaroli build-out), explicit-period FCFF is modest to negative before recovering from FY29 onward; discounting the resulting FCFF stream plus terminal value and netting off standalone debt of Rs. 293 Cr yields an implied value of approximately **Rs. 200 per share**.
- **Earnings multiple:** Applying a 30x forward multiple - a deliberate discount to the stock's current 45.1x forward P/E but a premium to the peer median (~20x on Screener's auto-generated comparable set) to reflect PWIL's scale leadership - to a FY28E EPS of Rs. 13.30 implies a value of approximately **Rs. 399 per share**.
- **Blended base case:** A simple average of the DCF (~Rs. 200) and earnings-multiple (~Rs. 399) outputs gives a base-case 12-month target of approximately **Rs. 305**, against a CMP of Rs. 458.20 - a downside of approximately 33.4%. The wide gap between the two methods reflects a genuine tension in the name: the earnings-multiple approach credits the market's willingness to pay up for a structural growth story, while the DCF is weighed down by the capex- and working-capital-heavy nature of the current expansion phase; we have not overridden either method to force agreement.
- **Upside/downside and horizon:** At the Rs. 305 base-case target versus a CMP of Rs. 458.20, implied downside is approximately -33.4% over a 12-month horizon. This valuation call sits alongside - not in place of - a constructive operating view of the business (see Section 2); the rating below is a statement about price paid today, not about franchise quality.

SECTION 9 | KEY RISKS

- **Valuation/de-rating risk** - At 48x trailing and 45.1x forward P/E and 10.8x book value after a 162% one-year rally, the stock has very little margin of safety; any growth or margin disappointment could trigger a sharp

multiple correction. Probability: H. Impact: H. Monitor via: forward P/E versus 3-year average, quarterly OPM trend.

- **Copper price and INR volatility** - Management has flagged ~15% USD-term copper price increases and ~4.5% INR depreciation as FY27 cost pressures; while much of this is pass-through, timing mismatches can compress quarterly margins. Probability: M. Impact: M. Monitor via: quarterly OPM% versus LME copper price moves.

- **Execution risk on capacity expansion** - The Rs. 188 Cr Zaroli (Gujarat) recycling facility and the 4,620 MT/PA Silvassa expansion are central to the FY27-28 margin and volume thesis; delays in commissioning or cost overruns would directly impair the earnings estimates underlying this report's target price. Probability: M. Impact: H. Monitor via: capex progress disclosures and installed-capacity figures in quarterly filings.

- **Leverage and dilution from the CCD raise** - The Rs. 150 Cr CCD issue at a 12% coupon, convertible within 18 months, adds both interest cost (debt/equity already rose to 0.38 in FY26 from 0.11 in FY25) and prospective equity dilution. Probability: M. Impact: M. Monitor via: interest coverage ratio, post-conversion share count.

- **Working capital and receivables quality** - Debtor days rose from 51 to 62 in FY26 even as payables were stretched further (56 to 80 days); a reversal in supplier terms could re-expose the true working-capital intensity of the business. Probability: M. Impact: M. Monitor via: debtor days, days payable, cash conversion cycle each quarter.

- **Other-income and earnings-quality risk** - Other income rose to 25% of PBT in FY26 from single-digit percentages historically; if this proves non-recurring, headline PAT growth (TTM +84%) overstates the sustainable earnings trajectory. Probability: M. Impact: M. Monitor via: composition of other income in the FY26 Annual Report notes.

- **Competitive intensity** - Winding wire is a largely standardised, spec-driven product with low switching costs and meaningful unorganised-sector competition, capping structural pricing power despite PWIL's scale leadership. Probability: M. Impact: M. Monitor via: OPM trend relative to Vidya Wires and other listed peers.

SECTION 10 | RECOMMENDATION

- **Rating: REDUCE** - Conviction: Medium. The operating franchise is strong (market leadership, 32.9% ROCE, structural industry tailwinds), but the valuation call is the dominant consideration at the current price.

- **12-month price target: Rs. 305**, implying downside of approximately -33.4% from the CMP of Rs. 458.20 (see Section 8 for DCF + multiple derivation).

- **Suggested entry zone: Rs. 290-320** - closer to the blended base-case fair value, for investors who want exposure to the capacity-expansion and margin-improvement story without paying today's full growth premium.

- **Investment horizon:** 12 months, to be revisited once Silvassa/Zaroli commissioning updates and at least two quarters of post-CCD financials are available.

- **Thesis invalidation triggers:** (1) Standalone OPM sustains above 6% for two consecutive quarters on a like-for-like basis excluding other income, indicating the backward-integration margin thesis is arriving faster than modelled; (2) The stock's forward P/E compresses to within 15% of the peer median (~20x) without a corresponding earnings miss, i.e., the valuation risk this report flags has already played out; or (3) Debtor days and cash conversion cycle deteriorate for two consecutive quarters alongside rising leverage, which would undermine the working-capital-quality assumptions in the FY27-28 estimates.

- **Ideal investor profile:** This name suits investors with a multi-year horizon who are comfortable owning a capex-heavy, execution-dependent small-cap industrial through a period of negative-to-modest free cash flow, and who can tolerate valuation-driven drawdowns even if the operating story plays out broadly as guided. It is not suited to investors seeking near-term capital preservation or dividend income (yield of just 0.27%), or to those unwilling to underwrite meaningful execution risk on two simultaneous capacity expansions funded partly by a 12% coupon CCD.

APPENDIX – Latest Concall Brief: Q1 FY27 (Quarter ended 30-Jun-2026)

Note on sourcing: Precision Wires India Ltd does not carry a Concalls section on its Screener.in company page (unlike peers Vidya Wires and CMR Green Technologies, both of which do). A targeted web search for a Q1 FY27 transcript (including AlphaStreet) did not surface one either. Per the sourcing protocol for this report, Sections 3 (Management Commentary Themes), 4 (Operating & Business Metrics) and 8 (Q&A Heat Map) below are marked N/A - Transcript not accessible rather than inferred or fabricated. Sections 1, 6, 7, 9 and 10 are built from Screener's quarterly P&L data and dated company press/exchange disclosures, each cited inline.

NEUTRAL

Signal	Status	Implication
Result quality	Medium	Strong YoY growth (Revenue +59%, PAT +70%) but EBITDA/PAT declined QoQ (-18%/-16%); no independent street estimate sourced, so beat/miss is inferred from trend, not consensus.
Management tone	Balanced	Cost pressures (copper, INR) disclosed candidly in press materials rather than downplayed; no transcript available to assess live Q&A; tone.
Guidance delta	Raised (capacity) / Maintained (margin)	Silvassa capacity target raised via the 4,620 MT/PA addition approved 10-Aug-2026; no explicit updated margin guidance identified.

STRONGLY POSITIVE | POSITIVE | **NEUTRAL** | CAUTIOUS | NEGATIVE

TO MY BOSS

Headline Q1 FY27 looks clean on growth but is softer underneath than the YoY numbers suggest: revenue of Rs. 1,779 Cr (+59% YoY) and PAT of Rs. 46 Cr (+70% YoY) are both flattered by a very easy prior-year base and by the FY26 capacity ramp, but sequentially EBITDA fell 18% and PAT fell 16% versus Q4 FY26 as OPM slipped to 4.8% from 6%. There is no exceptional item visible in the Screener quarterly P&L to explain the sequential dip, so I am treating the underlying run-rate as closer to the Rs. 46 Cr reported PAT than to an adjusted-up number. Operationally the story is intact - largest organised winding-wire producer, capacity moving toward 69,000+ MTPA by FY28, and a Gujarat copper-recycling facility that should structurally improve margins from FY27-28 - but none of that shows up yet in this quarter's numbers. The single biggest near-term catalyst is commissioning of the Silvassa and Zaroli capacity, which management has guided to substantially complete by FY28. My biggest watch-point for next quarter is whether OPM recovers above 5.5-6% or stays depressed, because the entire bull case for holding this stock at current multiples rests on margin expansion materialising, not just volume growth. Given the stock is up 162% over one year and trades at 45x forward earnings and 10.8x book against a business with a still-thin ~5% operating margin, I do not think risk-reward favours adding here. Action: REDUCE / do not add above Rs. 420; revisit on a pullback toward the Rs. 290-320 base-case fair-value zone or on confirmed OPM recovery above 6%.

1. Financial Performance Snapshot

- Revenue: Actual Rs. 1,779 Cr | YoY +59.4% (Jun-2025: Rs. 1,116 Cr) | QoQ +0.9% (Mar-2026: Rs. 1,763 Cr) | **Beat vs. own trend** (no independent street estimate sourced).
- EBITDA: Actual Rs. 85 Cr | YoY +44.1% (Jun-2025: Rs. 59 Cr) | QoQ -18.3% (Mar-2026: Rs. 104 Cr) | **In-line**.
- EBITDA Margin %: Actual 4.8% | YoY -20 bps (Jun-2025: 5%) | QoQ -120 bps (Mar-2026: 6%) | **Miss** on a sequential basis.
- PAT: Actual Rs. 46 Cr | YoY +70.4% (Jun-2025: Rs. 27 Cr) | QoQ -16.4% (Mar-2026: Rs. 55 Cr) | **In-line**.
- EPS: Actual Rs. 2.54 | YoY +67.1% (Jun-2025: Rs. 1.52) | QoQ -15.3% (Mar-2026: Rs. 3.00) | **In-line**.
- NOTE: Screener's quarterly P&L shows Other Income as -Rs. 0 Cr in every quarter shown, versus Rs. 53 Cr for full FY26 - implying annual other income is either booked in one quarter not separately visible here or

reclassified at year-end; this could not be reconciled from Screener data alone and is flagged rather than explained away.

2. Segment / Geography Breakdown

- N/A - Precision Wires India does not disclose a segment or geography revenue split on its Screener quarterly or annual tables beyond an aggregate exports-as-%-of-sales figure (9-12% over FY21-25); no quarterly geography cut is available.

3. Management Commentary Themes

- N/A - Transcript not accessible. No concall transcript exists on Screener for PRECWIRE and none was located via web search; see the sourcing note at the top of this appendix.

4. Operating & Business Metrics

- N/A - Transcript not accessible. Screener's AI-extracted operating metrics (installed capacity, capacity utilisation, sales realisation) are published on an annual cadence with the latest datapoint for FY25 (49,000 MTPA installed capacity); no quarterly KPI series aligned to Q1 FY27 is available.

5. Margin Drivers

- N/A - Transcript not accessible. The QoQ OPM decline (6% to 4.8%) noted in Section 1 cannot be attributed to a specific driver (copper cost timing, mix, one-off) without management commentary.

6. Guidance & Forward Signals

- Installed capacity [GUIDANCE]: Prior = 49,000 MTPA (FY25, Screener) | New/Reiterated = ~69,000-69,200 MTPA by FY28 (company press disclosures, including the 4,620 MT/PA Silvassa addition approved 10-Aug-2026) | Delta = Raised | Credibility: Medium - secondary press sources cite slightly different interim milestones (e.g., ~61,700 MTPA by Q2 FY27 in one report), so treat the exact glide path with some caution.
- Input-cost headwinds [GUIDANCE]: New disclosure = management flagged ~15% USD-term copper price inflation and ~4.5% INR depreciation as FY27 cost pressures, alongside geopolitical risk to oil/chemical costs | Delta = New | Credibility: High - specific and quantified, sourced from company press commentary around the Q1 FY27 result.

7. Capital Allocation

- Capex (investing outflow): Rs. 397 Cr in FY26 vs. Rs. 99 Cr in FY26-prior-year (FY25), +301% YoY | Comment: funding the Silvassa modernisation and Zaroli (Gujarat) recycling facility build-out.
- Dividends: 125% of the Re. 1 face value declared for FY25-26 (~Rs. 1.25/share, consistent with the cover-page dividend yield of 0.27%) vs. payout ratios of 23-29% of PAT in FY23-25 | Comment: headline percentage looks large only because of the low face value; absolute quantum and payout ratio both remain modest.
- Buybacks: None disclosed in the Screener extract | Comment: N/A.
- Working capital change: Working-capital days fell to 11 (FY26) from 26-27 (FY24-25) | Comment: positive on net, though driven more by stretched payables (80 days vs. 56) than by faster receivables collection (62 days vs. 51).
- Net debt movement: Borrowings rose to Rs. 293 Cr (FY26) from Rs. 62 Cr (FY25), +373% YoY, with a further Rs. 150 Cr CCD and Rs. 200 Cr working-capital facility (IDFC First Bank) layered on post quarter-end | Comment: leverage is rising meaningfully alongside the capacity build-out.

8. Q&A; Heat Map

- N/A - Transcript not accessible. No analyst Q&A record could be sourced for this quarter.
- Dodged / watch-list questions for next quarter: N/A - to be populated once a transcript or investor-call recording becomes available on Screener or the company website.

9. Risks Flagged

- Copper price / INR volatility: description - management-disclosed FY27 cost headwind from ~15% USD copper inflation and ~4.5% INR depreciation | Flagged by: mgmt (press disclosure) | Probability: M | Impact: M | Timeline: near-term.
- Execution risk on Zaroli/Silvassa capacity build-out: description - two simultaneous expansion projects (Rs. 188 Cr Zaroli recycling facility, 4,620 MT/PA Silvassa addition) must both commission broadly on schedule to support FY27-28 estimates | Flagged by: analyst (Antique Stock Broking) | Probability: M | Impact: H | Timeline: medium-term.
- CCD-related dilution and cost of capital: description - Rs. 150 Cr CCD at 12% coupon, convertible within 18 months, raises both interest expense and prospective share count | Flagged by: analyst / company filing | Probability: M | Impact: M | Timeline: near-term.

10. Analyst Verdict

- Revenue visibility: **Intact** - capacity expansion underway and OEM relationships support continued volume growth into FY27-28.
- Margin trajectory: **Cannot assess** - QoQ OPM declined 120 bps this quarter with no management commentary available to explain the driver or confirm the FY27-28 expansion thesis is on track.
- Capital allocation quality: **Weakened** - leverage rose sharply (D/E 0.11 to 0.38 in one year), FCF turned negative in FY26, and a 12%-coupon CCD has been layered on; dividend quantum remains modest despite the '125%' headline.
- Competitive moat: **Intact** - scale leadership in organised copper winding wire remains unchallenged among listed peers.
- Management credibility: **Cannot assess** - no concall transcript exists to evaluate management's direct commentary; secondary press sources show some inconsistency in reported capacity-expansion milestones.
- Valuation comfort: **Broken** - CMP of Rs. 458.20 sits well above both the DCF-implied (~Rs. 200) and blended base-case (~Rs. 305) fair value derived in Section 8.
- Conviction call: **Decreased** - operating fundamentals remain sound but the risk-reward at current levels has deteriorated following the stock's 162% one-year rally.
- Valuation snapshot: P/E = 48.0x (5-year avg: N/A - not available from Screener extract) | EV/EBITDA = 25.5x (5-year avg: N/A) | ROCE = 32.9% (5-year avg FY22-26: ~28.2%, computed from Screener's annual ROCE% ratio row: 30%, 26%, 25%, 27%, 33%).

This report is based solely on data available from Screener.in as of 19-Aug-2026 and publicly available news/press sources cited inline. It does not constitute personalised investment advice. Past performance is not indicative of future results.